INTRODUCTION

We have seen in Chapter 10 that how States located in a particular region identifying their common mutual interests have created regional arrangements. Thus, what we observe in the present international scenario is that Regional Trading Agreements (RTAs) have gained increased prominence. Repeated failures of multilateral negotiations, especially at various ministerial meets of the World Trade Organization (WTO), have lead to an increase in the number of RTAs. Another trend which is noticeable is that emerging economies are fostering economic bonds among themselves. There has been steady rise of many a new economic groupings and initiatives alongside the existing international institutions like IMF, World Bank and WTO and regional arrangements like, European Union, SAARC, ASEAN, AU, OPEC and several others. In the context of Indian foreign policy these have important bearings. Therefore, this Chapter attempts to take up a few of such groupings/initiatives for analysis. This will enable the students to grasp the current trend of international political economy.